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Lessons Learned: Philip Lane

Mary Anne Chute Lynch

Rosalind Z. Wiggins
YPFS, Yale School of Management

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Yale Program on Financial Stability

Lessons Learned

Philip Lane

By Mary Anne Chute Lynch and Rosalind Z. Wiggins

Philip Lane served as governor of the Central Bank of Ireland from 2015 to 2019. He introduced countercyclical capital and systemic buffer tools and initiated research into the role and risks of cross-border inflows across Ireland. As a member of the Governing Council of the European Central Bank (ECB) since 2015, Lane has advocated for the European Union to adopt macroprudential policies and tools. He hailed the work of the European Systemic Risk Board and similar institutions established after the Global Financial Crisis (GFC) and the European Sovereign Debt Crisis to share data, information concerning risks, and concerns over financial stability. He was named chief economist of the ECB in 2019. This summary is based on an interview with Lane in January 2023; the full transcript can be accessed [here](#).

Guarantees can be powerful tools, but policymakers should consider the unknowns of a crisis and calibrate guarantees for maximum effectiveness and minimal risk.

Ireland was one of several countries that issued broad-based guarantees of its banking system during the GFC, guaranteeing the liabilities of its six major banks. However, the guarantee almost overwhelmed the government and caused a Sovereign Debt Crisis. Lane explained that Ireland's calculations underlying the guarantee were based on point-in-time valuations that "looked okay" when made and indicated that the government could carry the guarantee. However, the underlying assumptions turned out to be too conservative; as the unprecedented crisis evolved, it threw everything out of joint. Lane elaborated:

I would say, even in September '08, you could stand by it [the guarantee] because at that point the scale of the property price declines was not that big. It's what happened next, from late September to April '09, when the critical G-20 meeting took place that marked a turning point. In that period, the scale of the further declines in the economy [and] property prices went way beyond the government's calculations. Even from the point of September '08, it was essentially an issue of the frame of reference being too narrow. The calculation of the worst-case scenario was too optimistic because they were essentially dealing with this as a typical small economy crash as opposed to a global meltdown.

Lane also postulated that, in hindsight, the guarantee might have been tailored in such a way as to narrow it without limiting its intended effectiveness. The guarantee covered all depositors, even though the banks had many large deposits from global financial institutions seeking high interest rates that were very liable to run:

Typically, you might say, we need to protect depositors because it would be too much of a macro shock [not to]. But that's different when a lot of the depositors are global investors who can look after themselves, and it wouldn't necessarily have a bad effect in the Irish economy if they left. In terms of optimal policy, having a sharper

differentiation between small depositors and large depositors probably should have been looked at more seriously. . . .

Maybe it's not terrible to have limited guarantees. It is the extent of the guarantee, because the guarantee also included a lot of subordinated debt mostly held by global investors.

Recapitalizing banks early in a crisis is critical, but government officials should carefully assess the source of funding to reduce sovereign debt risks.

Despite Ireland's broad guarantee, the government still had to recapitalize its banks, Lane said. "That's part of the mantra [in Europe], and it's also in the US. Having significant early recapitalization can be a good idea." But, he posited, there are factors that might cause a delay in recapitalization, intended or not.

In Ireland's case, Lane explained, there were at least two factors at play. First, Ireland benefited from being a part of the eurozone:

Being a member of the euro provided a lot of insulation. We would have had a very different situation without the euro, the common currency. Euro membership made it less of an acute crisis because the banks could receive liquidity immediately, and the amount of cross-border liquidity was really big. So, in terms of international accounting, there's a very big inward liquidity support from the ECB. The good side of that is it's stabilizing. The downside is, it's a temptation to postpone restructuring and so on. That was ultimately necessary. What happened was, over the first six months or a year, autumn or winter to spring '09, everything got worse.

Second, by the time Ireland was compelled to recapitalize its banks in 2010, the government could not afford to do so on its own. It was on the verge of a Sovereign Debt Crisis and reluctantly decided to seek assistance from the International Monetary Fund (IMF). Lane explained:

The interesting question is, if Ireland had gone [to the IMF] six months earlier, would it have been better? In terms of the timing, obviously, the world doesn't want a situation where people would, in any kind of difficulty, immediately go to the IMF. From a political point of view, it's embarrassing. There's a stigma effect. But from an economic point of view, earlier can sometimes, I think, be better. There were in November 2010, when this program was being set up, a lot of people, including the IMF, who were very pessimistic about the future of the economy, the future of the banks, so they wrote in very high numbers for the recapitalization of the banking system.

According to Lane, the Irish government "had to borrow so much in order to recapitalize the banking system [that] it became a sovereign debt issue." As a result, in 2010, Ireland had a budget deficit of 32% of GDP compared with 11% in 2008. "Everyone can agree recapitalization is important," commented Lane, "but how do you trade that off against putting the sovereign in danger?"

Lane praised governments most severely impacted by the onset of the Sovereign Debt Crisis for turning to a rescue package from the IMF, EU, and others. As in Ireland's case, he emphasized that there could be latent benefits: "Going to the official funding, stepping away from market funding for three years, allowed time for the economy to restructure, for the banking sector problems to be cleaned up." Given this, Lane concluded, "encouraging a country in trouble to accept IMF funding earlier rather than waiting too long is probably a universal lesson."

The reforms and macro tools implemented in response to a crisis can act as preemptive stabilizers when the next crisis occurs.

When Ireland emerged from its IMF program in 2023, its long-term future and recovery were still uncertain. Lane explained the preemptive measures that the central bank implemented: Mortgage limits and countercyclical capital buffers helped stabilize the recovery. The mortgage limits were "significant restrictions on individuals in terms of the loan-to-value ratio, but also the debt-to-income ratio," Lane said. While not without some downside, these limits mitigated against the formation of another housing bubble and proved their worth during the COVID-19 pandemic. Lane pointed out, "In the pandemic, the mortgages issued since the reforms turned out to be less problematic than mortgages issued under looser rules earlier on."

The countercyclical capital buffers required banks in Ireland to carry higher capital-to-asset ratios. In times of stress, such as the COVID pandemic, the extra capital was released to absorb unusual losses. While the buffers may lead to some lesser lending—"the banks might be more reluctant to provide credit if they have to maintain the higher ratios"—Lane was of the opinion that the measures worked well during the pandemic. He said, "The pandemic, I think, was a vindication of the argument; we don't know what the future is going to bring. We didn't know a pandemic was coming, and therefore you're better off having roughly high capital ratios in the banking system."

"One of the big lessons of '08 and afterward," Lane observed, "was the toxic combination of a financial crisis intersecting with a deep recession, both feeding on each other." He noted that in Europe and the United States, "there was a determination that the pandemic did not create a deep and durable recession. This led to pretty big fiscal interventions." Although many countries have experienced heightened inflation, Lane asserted that households and firms are in good shape because of government actions before and during the pandemic.

What's really important to remember, according to Lane, is "the interconnection between [preventive] macro [policies] and financial stability." Taking a few steps to limit risk before a crisis can better prepare firms, households, and the economy to survive. "Keeping the households and the firms in good shape," Lane said, "avoids the kind of accelerators and amplifiers that can create a big economic downturn. For financial stability, avoiding a big macro downturn is probably a pretty good idea."

His last point was most poignant: “It’s also a willingness to recognize in these severe crises, that the appropriate risk absorber is the government rather than asking households and firms to absorb too much risk.”

Dated: April 2025

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